BERNSTEIN
SOCIETE GENERALE GROUP

29 August 2024



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U.S. Semiconductors

**NVIDIA Corp**

Rating

**Outperform**

Price Target

**NVDA** **155.00 USD** (130.00 *OLD*)

# NVIDIA (NVDA): FQ225 Recap - On the margin...

NVIDIA's FQ2 was very solid ($30,040M/$0.68 vs Street at $28,857M/$0.64) with record Datacenter revenues at ~$26.3B (Street at ~$25.1B) amid continued strong demand for their Hopper products. Gaming was also above expectations, with Automotive and ProVis in-line.

FQ3 guidance was also very good ($32.5B/~$0.73 vs Street $31.9B/$0.71) with QoQ growth largely driven by continued Datacenter strength (likely implied at $28B+). Management also indicated that the Blackwell production ramp is still expected in Q4, though acknowledging a change to the Blackwell GPU mask (now complete) to improve yields, with Blackwell expected to deliver “several billion dollars” in FQ4.

Overall the company continues to deliver amid high expectations, and it seems clear that datacenter sequential growth is still well in the cards into year-end; “several” billon dollars of incremental Blackwell revenue into FQ4 should drive solid further sequential growth, and it feels to us that Hopper could easily continue to show sequential strength as well which might further accelerate things. It seems clear that Blackwell demand overall remains off the charts, likely driving significant growth next year as well. Sovereign AI expectations were taken up (now seen in the low double-digit billions this year). The customer base continues to diversify. Networking is strengthening (and broadening). And software is seen at $2B run-rate exiting the year (vs the $1B run-rate offered up a few quarters ago).

The one smudge on the report was end-of-year gross margin outlook which does seem down a bit as Blackwell begins its ramp and H200 mix increases. However, we believe the overall gross margin into FQ4 should still be very respectable (we believe likely in the 73-74%(ish) range) and believe next year’s margins should overall hold in fine as the platform matures, they settle pricing, optimize their supply chain and gain scale, and add more software to the mix.

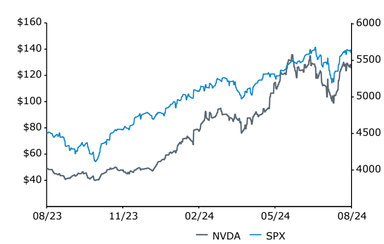
The stock was down some in the aftermarket, but the narrative remains solid; we would be buyers. We raise estimates, and take our target price to $155; we rate NVDA Outperform.

| | |
|---|---|
| Close Date | 28 Aug 2024 |
| NVDA Close Price (USD) | 125.61 |
| Price Target (USD) | 155.00 |
| Upside/(Downside) | 23% |
| 52-Week Range | 140.76/39.23 |
| SPX | 5,592.18 |
| FYE | Jan |
| Div Yield | 0.0% |
| Market Cap (USD) (B) | 3,090.01 |
| EV (USD) (B) | 3,069.80 |

| Performance | YTD | 1M | 6M | 12M |
|---|---|---|---|---|
| Absolute (%) | 153.6 | 11.1 | 61.7 | 168.2 |
| SPX (%) | 17.2 | 2.4 | 10.3 | 26.1 |
| Relative (%) | 136.4 | 8.7 | 51.4 | 142.1 |

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR




## Investment Implications

**NVDA (OP, $155):** The datacenter opportunity is enormous, and still early, with material upside still possible.

| Adjusted EPS | F24A | F25E | F26E |
|---|---|---|---|
| NVDA (USD) | 1.30 | **2.80** | **3.62** |
| *OLD* | -- | 2.62 | 3.30 |

| Financials | F24A | F25E | F26E | CAGR |
|---|---|---|---|---|
| Revenues (M) | 60,922 | 124,302 | 162,405 | -- |
| EBIT (M) | 37,134 | 82,347 | 105,407 | -- |
| FCF (M) | 27,023 | 62,712 | 86,112 | -- |

| Valuation Metrics | F24A | F25E | F26E |
|---|---|---|---|
| Adjusted P/E (x) | 96.9 | 44.8 | 34.7 |

Source: Bloomberg, Bernstein estimates and analysis.




First Published: 29 Aug 2024 04:50 UTC Completion Date: 29 Aug 2024 04:50 UTC

## DETAILS

Our updated model can be found here: NVDA Model.

**NVIDIA's FQ2 results were very solid ($30,040M/$0.68 vs Street at $28,857M/$0.64) with record Datacenter revenues at ~$26.3B (Street at ~$25.1B) amid continued strong demand for their Hopper products. Gaming was also above expectations, with Automotive and ProVis in-line.**

- **Revenues of $30,040M were above consensus expectations** ($28,857M), and guidance ($28,000M) (**Exhibit 1**). The beat was driven by Datacenter, which reached a new record and continued to show strength on the back of accelerating generative AI demand and the strong reception of Hopper products.

- **Datacenter segment revenues** of $26,272M, were up 16% QoQ and up 154% YoY and well above sell-side consensus at $25,078M (amid the continued surge in generative AI demand coupled with continued strong reception of Hopper products). Compute revenues were $22.6B out of the total, with Networking at $3.67B.

- **Gaming sales** were up 9% QoQ and up 16% YoY to $2,880M, and were above consensus at $2,792M (**Exhibit 2**) with sequential growth across console, notebook, and desktops, and with channel inventory indicated as healthy.

- **Professional Visualization sales** of $454M rose 6% QoQ and 20% YoY, roughly in-line with consensus at $451M.

- **Automotive sales** of $346M were up 5% sequentially and 37% YoY, in-line with consensus at $348M, with YoY growth driven by the continued ramp of Drive Orin and Drive Thor.

- **OEM & IP sales** came in at $88M for the quarter, slightly above consensus estimates of $78M, up13% QoQ and up 33% YoY (**Exhibit 2 and Exhibit 3**).

- **Non-GAAP Gross margins of 75.7%** were roughly in-line to a touch above consensus at 75.5% (**Exhibit 4**).

- **Non-GAAP Opex of $2,792M** was below consensus ($2,922M) and in-line with guidance at $2.8B.

- **Non-GAAP Operating margin** of 66.4% was above consensus of 65.3% (**Exhibit 4**).

- **Non-GAAP tax rate** came in at ~16.6%, in-line with guidance of 17.0%.

- **Non-GAAP EPS of $0.68** came in above consensus ($0.64) on higher revenues.

- **By segment:** Graphics revenues came in at $3.6B this quarter, up 16% YoY. Compute & Networking sales were $26.4B, up 154% YoY.

- **Inventory days** decreased to 81 days vs 95 last quarter on an as-reported basis, and inventory dollars increased to $6,675M vs $5,864M last quarter (**Exhibit 5**).

**FQ3 guidance was also very good ($32.5B/~$0.73 vs Street $31.9B/$0.71) with sequential growth largely driven by continued Datacenter strength (likely implied at $28B+) though all segments are seen growing. Management also indicated that the Blackwell production ramp is still expected in Q4, though acknowledging a change to the Blackwell GPU mask (now complete) to improve yields, with Blackwell expected to deliver "several billion dollars" in FQ4.**

- **FQ3 revenues were guided to $32.5B at the midpoint**, above consensus at $31.9B (**Exhibit 6**) and probably within the range of most of the whispers, driven primarily by continued Datacenter strength on the back of accelerating generative AI demand.

- **Implied datacenter guidance was good with no air pocket signs,** reflecting the continued surge in generative AI demand and the continued ramp of Hopper; implied datacenter revenues must be in the ballpark of ~$28B+ (Street at ~$27.8B) even with the Hopper-to-Blackwell transition approaching.

- **Management acknowledged a change to the Blackwell mask (now complete) to improve yields (so confirming some of the recent newsflow) but also indicated that the Blackwell production ramp is still seen into year-end with "several billion dollars" in revenue expected in Q4.**

- **Non-GAAP gross margins were guided to 75.0%**, in-line with consensus at 75.0% (**Exhibit 6**). Full year gross margins are expected to be in the mid 70% range, with the implied Q4 margin down a bit sequentially from the ~75% seen in FQ3 given the shift in cost structure amid new product introductions.

- **Non-GAAP Opex was guided to $3.0B**, above consensus ($2.87B) but on higher revenues, up QoQ (**Exhibit 6**).

- **Non-GAAP tax rate** was guided to 17% vs the Street at 17.3% (**Exhibit 6**).

- **NVDA implicitly guided to Non-GAAP EPS** next quarter to ~$0.73, above consensus ($0.71) (**Exhibit 6**).

**Overall the company continues to deliver amid high expectations, and it seems clear that datacenter sequential growth is still well in the cards into year-end; "several" billon dollars of incremental Blackwell revenue into FQ4 should drive solid further sequential growth, and it feels to us that Hopper could easily continue to show sequential strength as well which might further accelerate things. It seems clear that Blackwell demand overall remains off the charts, likely driving significant growth next year as well. Sovereign AI expectations were taken up (now seen in the low double-digit billions this year vs high single last quarter). The customer base continues to diversify. Networking is strengthening (and broadening). And software is seen at $2B run-rate exiting the year (vs the $1B run-rate offered up a few quarters ago).**



- Overall the company continues to deliver amid high expectations.

- It seems clear that datacenter sequential growth is still well in the cards into year-end. "Several" billion dollars of incremental Blackwell revenue into FQ4 should drive solid further sequential growth, and it seems to us that Hopper sales could easily continue to show sequential strength as well which might further accelerate things.

- It seems clear that Blackwell demand overall remains off the charts (with management suggesting supply constraints persisting), likley driving significant growth next year as well.

- Sovereign AI expectations were taken up (now seen low-double-digit billions this year vs high single last quarter).

- The customer base continues to diversify They had ~45' % of revenue to large cloud customer this quarter, and sizeable traction at large enterprises (auto, presumably Tesla? healthcare, etc).

- Network offerings are broadening as Spectrum X Ethernet ramps , with management suggesting revenues in the "multi-billions" within a year).

- And software is now seen at a $2B run-rate exiting the year (vs the ~$1B run-rate offered up a few quarters ago).

**The one smudge on the report was end-of-year gross margin outlook which does seem down a bit as Blackwell begins its ramp and H200 mix increases. However, we believe the overall gross margin into FQ4 should still be very respectable (we believe likely in the 73-74%(ish) range) and believe next year's margins should overall hold in fine as the platform matures, they settle pricing, optimize their supply chain and gain scale, and add more software to the mix.**

- The one smudge on the print was the end-of-year gross margin outlook which does appear down a bit as Blackwell begins to ramp. On our callback management indicated the slight compression is not, in fact, due to low yields (they believe that issue is fixed) but rather due to the increased complexity of especially the GB platforms, as well as higher H200 mix (which has more, higher end, HBM).

- However, we believe the overall gross margin into FQ4 should still be very respectable; we suspect "mid 70's" for the year is still a bit higher than 75%, with FQ4 margins likely still in the ballpark of mid-70's (73-74% or so) (**Exhibit 7**).

- And while margins next year might come down a bit vs current consensus (frankly not necessarily a bad thing) overall we believe they should hold in fine as the platform matures, they settle pricing (which management indicated to us was not yet fully set), further optimize their supply chain, and gain scale as well as grow their software offerings.

**The stock sold off ~7 points in the aftermarket, though are back to where they were a week or two ago. But on the margin we think the story still looks good here in front of the Blackwell ramp; we would be buyers of weakness.**

**Other tidbits:**

- Capex for the quarter came in at $977M.
- Free cash flow for the quarter was $13.5B.
- The company repurchased $7.2B in shares in the quarter.
- The company ended the quarter with $7.5B remaining in their share repurchase authorization, with the Board approving an additional $50B without expiration.

**We update our model, and raise estimates. As we are halfway through the financial year, we roll forward our valuation horizon from FY2026 to the average of FY2026/FY2027. We keep the multiple unchanged, and take our target price to $155. We maintain our Outperform rating.**

- We have updated our model, and raised estimates. As we are halfway through the financial year, we roll forward our valuation horizon from FY2026 to the average of FY2026/FY2027.
- We raise our FY2025 revenue estimate from $116.9B to $124.3B, FY2026 from $144.0B to $162.4B, and FY2027 from $164.4B to $185.6B.
- We raise our FY2025 non-GAAP EPS estimate from $2.62 to $2.80, FY2026 from $3.30 to $3.62, and FY2027 from $3.85 to $4.24.
- We raise our target price to $155 (~40x, multiple unchanged, to average of our FY2026/FY2027 non-GAAP EPS estimate at $3.93).
- We maintain our Outperform rating.

EXHIBIT 1: **NVIDIA's results were above expectations on revenues and EPS**

| FQ225 | | Estimates | | Delta | |
|---|---|---|---|---|---|
| **NVDA Results** | **Actual** | **Street** | **Bernstein** | **Street** | **Bernstein** |
| **Revenue** | $30,040 | $28,857 | $28,010 | $1,183 | $2,030 |
| **Non-GAAP Gross Profit** | $22,729 | $21,776 | $21,143 | $953 | $1,586 |
| % GM | *75.7%* | *75.5%* | *75.5%* | | |
| **Non-GAAP EBIT** | $19,937 | $18,854 | $18,340 | $1,083 | $1,597 |
| % Margin | *66.4%* | *65.3%* | *65.5%* | | |
| **Non-GAAP EPS** | $0.68 | $0.64 | $0.62 | $0.04 | $0.06 |

Source: Company reports, Bloomberg, Bernstein estimates & analysis

EXHIBIT 2: **Datacenter, Gaming and OEM were above expectations with ProVis and Auto in-line**

**Revenue by End Market ($MM)**

| **FQ225** | **Actual** | **Bernstein** | **Consensus** |
|---|---|---|---|
| Gaming | $2,880 | $2,867 | $2,792 |
| Professional Visualization | $454 | $448 | $451 |
| Datacenter | $26,272 | $24,250 | $25,078 |
| Automotive | $346 | $366 | $348 |
| OEM & IP | $88 | $79 | $78 |

Source: Company reports, Bloomberg, Bernstein estimates & analysis

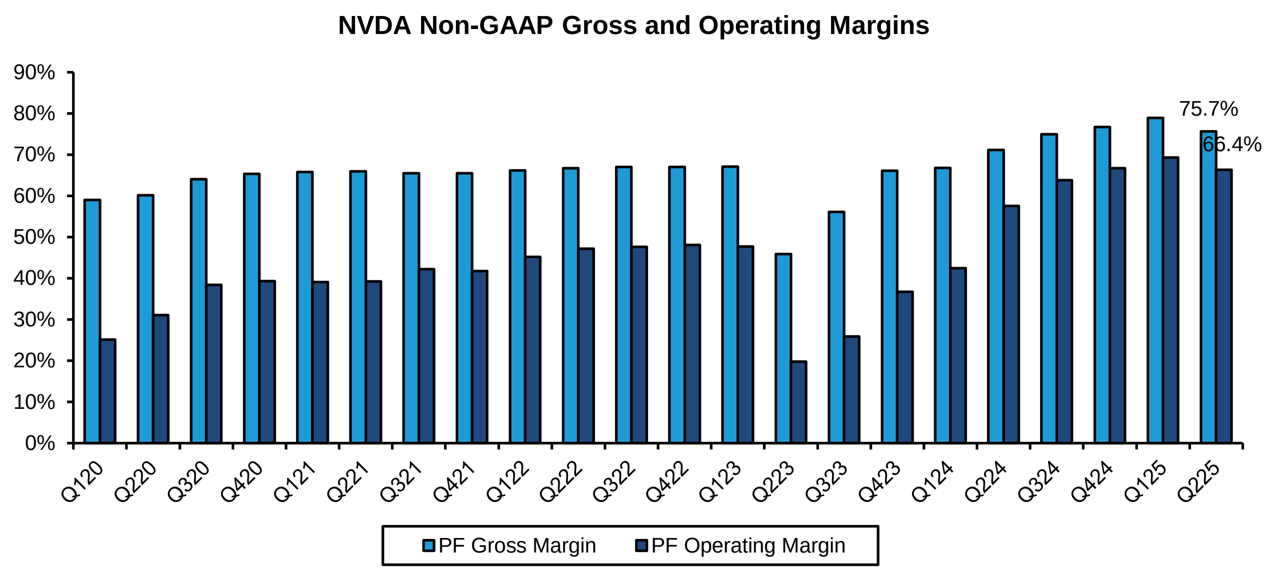
EXHIBIT 3: **All segments grew YoY and QoQ**

$MM

| Segment Revenue | Q121 | Q221 | Q321 | Q421 | Q122 | Q222 | Q322 | Q422 | Q123 | Q223 | Q323 | Q423 | Q124 | Q224 | Q324 | Q424 | Q125 | Q225 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Gaming** | 1,339 | 1,654 | 2,271 | 2,495 | 2,760 | 3,061 | 3,221 | 3,420 | 3,620 | 2,042 | 1,574 | 1,831 | 2,240 | 2,486 | 2,856 | 2,865 | 2,647 | 2,880 |
| QoQ Growth | *-10.2%* | *23.5%* | *37.3%* | *9.9%* | *10.6%* | *10.9%* | *5.2%* | *6.2%* | *5.8%* | *-43.6%* | *-22.9%* | *16.3%* | *22.3%* | *11.0%* | *14.9%* | *0.3%* | *-7.6%* | *8.8%* |
| YoY Growth | *26.9%* | *26.0%* | *36.9%* | *67.3%* | *106.1%* | *85.1%* | *41.8%* | *37.1%* | *31.2%* | *-33.3%* | *-51.1%* | *-46.5%* | *-38.1%* | *21.7%* | *81.4%* | *56.5%* | *18.2%* | *15.8%* |
| **Professional Visualization** | 307 | 203 | 236 | 307 | 372 | 519 | 577 | 643 | 622 | 496 | 200 | 226 | 295 | 379 | 416 | 463 | 427 | 454 |
| QoQ Growth | *-7.3%* | *-33.9%* | *16.3%* | *30.1%* | *21.2%* | *39.5%* | *11.2%* | *11.4%* | *-3.3%* | *-20.3%* | *-59.7%* | *13.0%* | *30.5%* | *28.5%* | *9.8%* | *11.3%* | *-7.8%* | *6.3%* |
| YoY Growth | *15.4%* | *-30.2%* | *-27.2%* | *-7.3%* | *21.2%* | *155.7%* | *144.5%* | *109.4%* | *67.2%* | *-4.4%* | *-65.3%* | *-64.9%* | *-52.6%* | *-23.6%* | *108.0%* | *104.9%* | *44.7%* | *19.8%* |
| **Datacenter** | 1,141 | 1,752 | 1,900 | 1,903 | 2,048 | 2,366 | 2,936 | 3,263 | 3,750 | 3,806 | 3,833 | 3,616 | 4,284 | 10,323 | 14,514 | 18,404 | 22,563 | 26,272 |
| QoQ Growth | *17.9%* | *53.5%* | *8.4%* | *0.2%* | *7.6%* | *15.5%* | *24.1%* | *11.1%* | *14.9%* | *1.5%* | *0.7%* | *-5.7%* | *18.5%* | *141.0%* | *40.6%* | *26.8%* | *22.6%* | *16.4%* |
| YoY Growth | *80.0%* | *167.5%* | *161.7%* | *96.6%* | *79.5%* | *35.0%* | *54.5%* | *71.5%* | *83.1%* | *60.9%* | *30.6%* | *10.8%* | *14.2%* | *171.2%* | *278.7%* | *409.0%* | *426.7%* | *154.5%* |
| **Automotive** | 155 | 111 | 125 | 145 | 154 | 152 | 135 | 125 | 138 | 220 | 251 | 294 | 296 | 253 | 261 | 281 | 329 | 346 |
| QoQ Growth | *-4.9%* | *-28.4%* | *12.6%* | *16.0%* | *6.2%* | *-1.3%* | *-11.2%* | *-7.4%* | *10.4%* | *59.4%* | *14.1%* | *17.1%* | *0.7%* | *-14.5%* | *3.2%* | *7.7%* | *17.1%* | *5.2%* |
| YoY Growth | *-6.6%* | *-46.9%* | *-22.8%* | *-11.0%* | *-0.6%* | *36.9%* | *8.0%* | *-13.8%* | *-10.4%* | *44.7%* | *85.9%* | *135.2%* | *114.5%* | *15.0%* | *4.0%* | *-4.4%* | *11.1%* | *36.8%* |
| **OEM & IP** | 138 | 146 | 194 | 153 | 327 | 409 | 234 | 192 | 158 | 140 | 73 | 84 | 77 | 66 | 73 | 90 | 78 | 88 |
| QoQ Growth | *-9.2%* | *5.8%* | *32.9%* | *-21.1%* | *113.7%* | *25.1%* | *-42.8%* | *-17.9%* | *-17.7%* | *-11.4%* | *-47.9%* | *15.1%* | *-8.3%* | *-14.3%* | *10.6%* | *23.3%* | *-13.3%* | *12.8%* |
| YoY Growth | *39.4%* | *31.5%* | *35.7%* | *0.7%* | *137.0%* | *180.1%* | *20.6%* | *25.5%* | *-51.7%* | *-65.8%* | *-68.8%* | *-56.3%* | *-51.3%* | *-52.9%* | *0.0%* | *7.1%* | *1.3%* | *33.3%* |
| **Total Revenue** | **$3,080** | **$3,866** | **$4,726** | **$5,003** | **$5,661** | **$6,507** | **$7,103** | **$7,643** | **$8,288** | **$6,704** | **$5,931** | **$6,051** | **$7,192** | **$13,507** | **$18,120** | **$22,103** | **$26,044** | **$30,040** |
| QoQ Growth | *-0.8%* | *25.5%* | *22.2%* | *5.9%* | *13.2%* | *14.9%* | *9.2%* | *7.6%* | *8.4%* | *-19.1%* | *-11.5%* | *2.0%* | *18.9%* | *87.8%* | *34.2%* | *22.0%* | *17.8%* | *15.3%* |
| YoY Growth | *38.7%* | *49.9%* | *56.8%* | *61.1%* | *83.8%* | *68.3%* | *50.3%* | *52.8%* | *46.4%* | *3.0%* | *-16.5%* | *-20.8%* | *-13.2%* | *101.5%* | *205.5%* | *265.3%* | *262.1%* | *122.4%* |

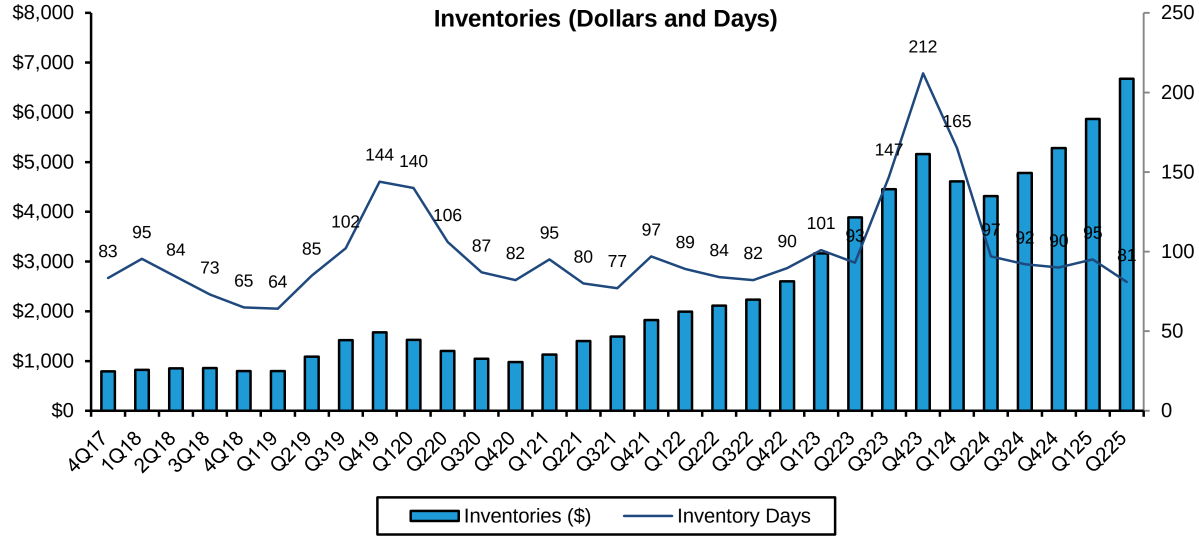
Source: Company reports, Bernstein analysis

EXHIBIT 4: **Non-GAAP gross and operating margins fell a touch sequentially**




Source: Company reports, Bernstein analysis

EXHIBIT 5: **Inventory dollars grew sequentially while days fell**




Source: Company reports, Bernstein analysis

EXHIBIT 6: **FQ325 guidance was above consensus given the strength of demand in their datacenter segment**

| ***$ in millions*** | **Q225 Results** | **FQ325 Guidance Range** | **FQ325 Guidance Midpoint** | **Prior Consensus FQ325 Expectations** | **Delta** |
|---|---|---|---|---|---|
| **Revenue** | $30,040 | $31,850 - $33,150 | $32,500 | $31,854 | $646 |
| % QoQ | *15.3%* | *8.2%* | *8.2%* | *6.0%* | *2.2%* |
| **Non-GAAP Gross Profit** | $22,729 | $23,728 - $25,028 | $24,375 | $23,892 | $483 |
| % GM | *75.7%* | *74.5% - 75.5%* | *75.0%* | *75.0%* | *(0.0%)* |
| **Non- GAAP OpEx** | $2,792 | $3,000 | $3,000 | $2,874 | $126 |
| **Non-GAAP EBIT** | $19,937 | $20,728 - $22,028 | $21,375 | $21,018 | $357 |
| % Margin | *66.4%* | *65.1% - 66.5%* | *65.8%* | *66.0%* | *(0.2%)* |
| **Non-GAAP Other Income and Expense** | $380 | $350 | $350 | ($296) | $646 |
| **Non-GAAP Tax Rate** | *16.6%* | *16.% - 18.%* | *17.0%* | *17.3%* | *(0.3%)* |
| **Cap Ex** | $977 | | | ($436) | $436 |
| **Non-GAAP EPS** | $0.68 | $.71 - $.74 | $0.73 | $0.71 | $0.01 |

Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 7: **We suspect implied FQ4 gross margins in the 73-75% range**

**FQ4 Implied Gross Margin**

| | | | **Full-Year Gross Margin ("Mid 70's")** | | | | |
|---|---|---|---|---|---|---|---|
| | | | **75.0%** | **75.3%** | **75.5%** | **75.8%** | **76.0%** |
| **FQ4 Revenue ($ Billions)** | **$** | **32,500** | 71.2% | 72.2% | 73.1% | 74.0% | 75.0% |
| | **$** | **35,000** | 71.5% | 72.4% | 73.3% | 74.1% | 75.0% |
| | **$** | **37,500** | 71.7% | 72.6% | 73.4% | 74.3% | 75.1% |
| | **$** | **40,000** | 71.9% | 72.7% | 73.5% | 74.3% | 75.1% |

Source: Company reports, Bernstein estimates and analysis

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## EXHIBIT 8: **Bernstein NVDA Income Statement**

**NVIDIA: Income Statement**

| Calendar Quarter | 2023E | 2024E | 2025E | 2026E |
|---|---|---|---|---|
| Fiscal Quarter | 2024 | 2025E | 2026E | 2027E |
| **GAAP Revenue** | **$60,922.0** | **$124,302.4** | **$162,405.2** | **$185,603.4** |
| COGS | 16,621.0 | 31,103.7 | 43,105.7 | 48,813.7 |
| **GAAP Gross Profit** | **$44,301.0** | **$93,198.7** | **$119,299.5** | **$136,789.7** |
| R&D | 8,674.0 | 12,537.7 | 14,941.3 | 16,704.3 |
| SG&A | 2,655.0 | 3,676.9 | 4,709.8 | 5,196.9 |
| Other | – | – | – | – |
| Total Opex | 11,329.0 | 16,214.6 | 19,651.0 | 21,901.2 |
| **GAAP Operating Profit** | **$32,972.0** | **$76,984.1** | **$99,648.5** | **$114,888.5** |
| Net Interest Expense / Other | 846.0 | 1,664.3 | 2,305.1 | 4,147.5 |
| **Pre Tax Income** | **$33,818.0** | **$78,648.4** | **$101,953.6** | **$119,036.0** |
| Taxes | (4,059.0) | (12,179.4) | (17,332.1) | (20,236.1) |
| **Net Income** | **$29,759.0** | **$66,469.0** | **$84,621.5** | **$98,799.9** |
| **Non-GAAP Metrics** | | | | |
| **Gross Profit** | $44,958.0 | $93,901.1 | $119,777.8 | $137,267.9 |
| **Opex** | 7,824.0 | 11,553.6 | 14,371.0 | 16,206.2 |
| **Operating Profit** | 37,134.0 | 82,347.4 | 105,406.8 | 121,061.7 |
| **Net Income** | 32,312.0 | 69,601.2 | 89,400.8 | 103,923.7 |
| GAAP Diluted Share Count | 24,932.5 | 24,828.5 | 24,668.0 | 24,508.0 |
| Non-GAAP Diluted Share Count | 24,932.5 | 24,828.5 | 24,668.0 | 24,508.0 |
| **GAAP Diluted EPS** | **$1.19** | **$2.68** | **$3.43** | **$4.03** |
| **Non-GAAP Diluted EPS** | **$1.30** | **$2.80** | **$3.62** | **$4.24** |

| Calendar Quarter | Q123 | Q223 | Q323 | Q423 | Q124 | Q224 | Q324E | Q424E | Q125E | Q225E | Q325E | Q425E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Fiscal Quarter | Q124 | Q224 | Q324 | Q424 | Q125 | Q225 | Q325E | Q425E | Q126E | Q226E | Q326E | Q426E |
| **GAAP Revenue** | **$7,192.0** | **$13,507.0** | **$18,120.0** | **$22,103.0** | **$26,044.0** | **$30,040.0** | **32,501.8** | **35,716.6** | **38,531.6** | **40,092.9** | **41,233.0** | **42,547.6** |
| COGS | 2,544.0 | 4,045.0 | 4,720.0 | 5,312.0 | 5,638.0 | 7,466.0 | 8,320.5 | 9,679.2 | 10,326.5 | 10,744.9 | 10,844.3 | 11,190.0 |
| **GAAP Gross Profit** | **$4,648.0** | **$9,462.0** | **$13,400.0** | **$16,791.0** | **$20,406.0** | **$22,574.0** | **$24,181.4** | **$26,037.4** | **$28,205.2** | **$29,348.0** | **$30,388.8** | **$31,357.6** |
| R&D | 1,875.0 | 2,040.0 | 2,294.0 | 2,465.0 | 2,720.0 | 3,090.0 | 3,298.9 | 3,428.8 | 3,544.9 | 3,688.5 | 3,793.4 | 3,914.4 |
| SG&A | 633.0 | 622.0 | 689.0 | 711.0 | 777.0 | 842.0 | 950.7 | 1,107.2 | 1,117.4 | 1,162.7 | 1,195.8 | 1,233.9 |
| Other | | | | | | | | | | | | |
| Total Opex | **2,508.0** | **2,662.0** | **2,983.0** | **3,176.0** | **3,497.0** | **3,932.0** | **4,249.6** | **4,536.0** | **4,662.3** | **4,851.2** | **4,989.2** | **5,148.3** |
| **GAAP Operating Profit** | **$2,140.0** | **$6,800.0** | **$10,417.0** | **$13,615.0** | **$16,909.0** | **$18,642.0** | **$19,931.8** | **$21,501.4** | **$23,542.8** | **$24,496.7** | **$25,399.6** | **$26,209.4** |
| Net Interest Expense / Other | 69.0 | 181.0 | 105.0 | 491.0 | 370.0 | 572.0 | 350.2 | 372.1 | 436.8 | 520.5 | 619.2 | 728.7 |
| **Pre Tax Income** | **$2,209.0** | **$6,981.0** | **$10,522.0** | **$14,106.0** | **$17,279.0** | **$19,214.0** | **$20,282.0** | **$21,873.5** | **$23,979.6** | **$25,017.2** | **$26,018.7** | **$26,938.0** |
| Taxes | (166.0) | (793.0) | (1,279.0) | (1,821.0) | (2,398.0) | (2,615.0) | (3,447.9) | (3,718.5) | (4,076.5) | (4,252.9) | (4,423.2) | (4,579.5) |
| **Net Income** | **$2,043.0** | **$6,188.0** | **$9,243.0** | **$12,285.0** | **$14,881.0** | **$16,599.0** | **$16,834.0** | **$18,155.0** | **$19,903.1** | **$20,764.3** | **$21,595.5** | **$22,358.6** |
| **Non-GAAP Metrics** | | | | | | | | | | | | |
| **Gross Profit** | $4,802.0 | $9,614.0 | $13,583.0 | $16,959.0 | $20,560.0 | $22,729.0 | $24,378.0 | $26,234.1 | $28,320.0 | $29,465.6 | $30,511.6 | $31,480.6 |
| **Opex** | 1,750.0 | 1,838.0 | 2,026.0 | 2,210.0 | 2,501.0 | 2,792.0 | 2,999.6 | 3,261.0 | 3,387.3 | 3,541.2 | 3,644.2 | 3,798.3 |
| **Operating Profit** | 3,052.0 | 7,776.0 | 11,557.0 | 14,749.0 | 18,059.0 | 19,937.0 | 21,378.3 | 22,973.1 | 24,932.6 | 25,924.4 | 26,867.4 | 27,682.3 |
| **Net Income** | 2,713.0 | 6,740.0 | 10,020.0 | 12,839.0 | 15,238.0 | 16,952.0 | 18,034.7 | 19,376.5 | 21,056.6 | 21,949.2 | 22,813.9 | 23,581.1 |
| GAAP Diluted Share Count | 24900 | 24990 | 24940 | 24900 | 24890 | 24848 | 24808 | 24768 | 24728 | 24688 | 24648 | 24608 |
| Non-GAAP Diluted Share Count | 24900 | 24990 | 24940 | 24900 | 24890 | 24848 | 24808 | 24768 | 24728 | 24688 | 24648 | 24608 |
| **GAAP Diluted EPS** | **$0.08** | **$0.25** | **$0.37** | **$0.49** | **$0.60** | **$0.67** | **$0.68** | **$0.73** | **$0.80** | **$0.84** | **$0.88** | **$0.91** |
| **Non-GAAP Diluted EPS** | **$0.11** | **$0.27** | **$0.40** | **$0.52** | **$0.61** | **$0.68** | **$0.73** | **$0.78** | **$0.85** | **$0.89** | **$0.93** | **$0.96** |

| Growth and Margins | 2024 | 2025E | 2026E | 2027E |
|---|---|---|---|---|
| QoQ Revenue Growth | - | - | - | - |
| YoY Revenue Growth | 125.9% | 104.0% | 30.7% | 14.3% |
| **GAAP Gross Margin %** | **72.7%** | **75.0%** | **73.5%** | **73.7%** |
| **Non-GAAP Gross Margin %** | **73.8%** | **75.5%** | **73.8%** | **74.0%** |
| R&D as % of Sales | 14.2% | 10.1% | 9.2% | 9.0% |
| SG&A as % of Sales | 4.4% | 3.0% | 2.9% | 2.8% |
| GAAP Opex as % of Sales | 18.6% | 13.0% | 12.1% | 11.8% |
| Non-GAAP Opex as % of sales | 12.8% | 9.3% | 8.8% | 8.7% |
| **GAAP Operating Margin** | **54.1%** | **61.9%** | **61.4%** | **61.9%** |
| **Non-GAAP Operating Margin** | **61.0%** | **66.2%** | **64.9%** | **65.2%** |
| GAAP Tax Rate | (12.0%) | (15.5%) | (17.0%) | (17.0%) |
| **GAAP Net Margin** | **48.8%** | **53.5%** | **52.1%** | **53.2%** |
| **Non-GAAP Net Margin** | **53.0%** | **56.0%** | **55.0%** | **56.0%** |

| Growth and Margins | Q124 | Q224 | Q324 | Q424 | Q125 | Q225 | Q325E | Q425E | Q126E | Q226E | Q326E | Q426E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| QoQ Revenue Growth | 18.9% | 87.8% | 34.2% | 22.0% | 17.8% | 15.3% | 8.2% | 9.9% | 7.9% | 4.1% | 2.8% | 3.2% |
| YoY Revenue Growth | (13.2%) | 101.5% | 205.5% | 265.3% | 262.1% | 122.4% | 79.4% | 61.6% | 47.9% | 33.5% | 26.9% | 19.1% |
| **GAAP Gross Margin %** | **64.6%** | **70.1%** | **74.0%** | **76.0%** | **78.4%** | **75.1%** | **74.4%** | **72.9%** | **73.2%** | **73.2%** | **73.7%** | **73.7%** |
| **Non-GAAP Gross Margin %** | **66.8%** | **71.2%** | **75.0%** | **76.7%** | **78.9%** | **75.7%** | **75.0%** | **73.5%** | **73.5%** | **73.5%** | **74.0%** | **74.0%** |
| R&D as % of Sales | 26.1% | 15.1% | 12.7% | 11.2% | 10.4% | 10.3% | 10.2% | 9.6% | 9.2% | 9.2% | 9.2% | 9.2% |
| SG&A as % of Sales | 8.8% | 4.6% | 3.8% | 3.2% | 3.0% | 2.8% | 2.9% | 3.1% | 2.9% | 2.9% | 2.9% | 2.9% |
| GAAP Opex as % of Sales | 34.9% | 19.7% | 16.5% | 14.4% | 13.4% | 13.1% | 13.1% | 12.7% | 12.1% | 12.1% | 12.1% | 12.1% |
| Non-GAAP Opex as % of sales | 24.3% | 13.6% | 11.2% | 10.0% | 9.6% | 9.3% | 9.2% | 9.1% | 8.8% | 8.8% | 8.8% | 8.9% |
| **GAAP Operating Margin** | **29.8%** | **50.3%** | **57.5%** | **61.6%** | **64.9%** | **62.1%** | **61.3%** | **60.2%** | **61.1%** | **61.1%** | **61.6%** | **61.6%** |
| **Non-GAAP Operating Margin** | **42.4%** | **57.6%** | **63.8%** | **66.7%** | **69.3%** | **66.4%** | **65.8%** | **64.3%** | **64.7%** | **64.7%** | **65.2%** | **65.1%** |
| GAAP Tax Rate | (7.5%) | (11.4%) | (12.2%) | (12.9%) | (13.9%) | (13.6%) | (17.0%) | (17.0%) | (17.0%) | (17.0%) | (17.0%) | (17.0%) |
| **GAAP Net Margin** | **28.4%** | **45.8%** | **51.0%** | **55.6%** | **57.1%** | **55.3%** | **51.8%** | **50.8%** | **51.7%** | **51.8%** | **52.4%** | **52.5%** |
| **Non-GAAP Net Margin** | **37.7%** | **49.9%** | **55.3%** | **58.1%** | **58.5%** | **56.4%** | **55.5%** | **54.3%** | **54.6%** | **54.7%** | **55.3%** | **55.4%** |

Source: Company reports, Bernstein estimates and analysis

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## EXHIBIT 9: **Bernstein NVDA Balance Sheet**

**NVIDIA: Balance Sheet**

| **Calendar Quarter** | **2023E** | **2024E** | **2025E** | **2026E** |
|---|---|---|---|---|
| **Fiscal Quarter** | **2024** | **2025E** | **2026E** | **2027E** |
| **Assets** | | | | |
| **Current Assets:** | | | | |
| Cash | $7,280 | $22,304 | $67,438 | $127,918 |
| Short Term Investments | $18,704 | $26,229 | $26,229 | $26,229 |
| Net accounts receivable | $9,999 | $16,072 | $19,146 | $21,377 |
| Inventory | $5,282 | $9,482 | $11,067 | $12,371 |
| Prepaid expenses | $3,080 | $4,026 | $4,026 | $4,026 |
| Other current assets | $0 | $0 | $0 | $0 |
| **Total Current Assets** | **$44,345** | **$78,114** | **$127,906** | **$191,921** |
| **Non Current Assets:** | | | | |
| Property, plant and equipment, net | $3,914 | $4,924 | $5,224 | $5,661 |
| Goodwill | $4,430 | $4,622 | $4,622 | $4,622 |
| Intangible assets, net | $1,112 | $666 | $405 | $255 |
| Other long-term assets | $11,927 | $15,135 | $15,135 | $15,135 |
| **Total Non Current Assets** | **$21,383** | **$25,347** | **$25,386** | **$25,673** |
| **Total Assets** | **$65,728** | **$103,461** | **$153,292** | **$217,594** |
| **Liabilities and equity** | | | | |
| **Current liabilities:** | | | | |
| Accounts payable | $2,699 | $4,824 | $5,614 | $6,275 |
| Accrued Liabilities | $6,682 | $10,289 | $10,289 | $10,289 |
| Convertible Short Term Debt | $0 | $0 | $0 | $0 |
| Other Current Liabilities | $1,250 | $0 | $0 | $0 |
| **Total current liabilities** | **$10,631** | **$15,113** | **$15,903** | **$16,564** |
| **Long-term liabilities:** | | | | |
| Long-term debt | $8,459 | $8,461 | $8,461 | $8,461 |
| Capital Lease Obligations, LT | $1,119 | $1,304 | $1,304 | $1,304 |
| Deferred tax liability | $0 | $0 | $0 | $0 |
| Other long-term liabilities | $2,541 | $3,336 | $3,336 | $3,336 |
| **Total non-current liabilities** | **$12,119** | **$13,101** | **$13,101** | **$13,101** |
| **Total liabilities** | **$22,750** | **$28,214** | **$29,004** | **$29,665** |
| **Shareholders' equity:** | | | | |
| Ordinary shares | $2 | $25 | $25 | $25 |
| Addditional Paid-In Capital | $13,132 | $14,706 | $20,106 | $25,920 |
| Treasury Stock | $0 | ($20,000) | ($60,000) | ($100,000) |
| Accumulated other comp loss | $27 | $56 | $56 | $56 |
| Retained earnings | $29,817 | $80,459 | $164,102 | $261,929 |
| **Total Shareholders' equity** | **$42,978** | **$75,246** | **$124,289** | **$187,930** |
| **Total liabilities and shareholders' equity** | **$65,728** | **$103,461** | **$153,292** | **$217,594** |

| **Calendar Quarter** | **Q123** | **Q223** | **Q323** | **Q423** | **Q124** | **Q224** | **Q324E** | **Q424E** | **Q125E** | **Q225E** | **Q325E** | **Q425E** |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Fiscal Quarter** | **Q124** | **Q224** | **Q324** | **Q424** | **Q125** | **Q225** | **Q325E** | **Q425E** | **Q126E** | **Q226E** | **Q326E** | **Q426E** |
| **Assets** | | | | | | | | | | | | |
| **Current Assets:** | | | | | | | | | | | | |
| Cash | $5,079 | $5,783 | $5,519 | $7,280 | $7,587 | $8,571 | $15,118 | $22,304 | $31,601 | $42,568 | $54,734 | $67,438 |
| Short Term Investments | $10,241 | $10,240 | $12,762 | $18,704 | $23,851 | $26,229 | $26,229 | $26,229 | $26,229 | $26,229 | $26,229 | $26,229 |
| Net accounts receivable | $4,080 | $7,066 | $8,309 | $9,999 | $12,365 | $14,132 | $14,626 | $16,072 | $17,339 | $18,042 | $18,555 | $19,146 |
| Inventory | $4,611 | $4,319 | $4,779 | $5,282 | $5,864 | $6,675 | $8,124 | $9,482 | $10,212 | $10,627 | $10,721 | $11,067 |
| Prepaid expenses | $872 | $1,389 | $1,289 | $3,080 | $4,062 | $4,026 | $4,026 | $4,026 | $4,026 | $4,026 | $4,026 | $4,026 |
| Other current assets | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| **Total Current Assets** | **$24,883** | **$28,797** | **$32,658** | **$44,345** | **$53,729** | **$59,633** | **$68,123** | **$78,114** | **$89,407** | **$101,492** | **$114,265** | **$127,906** |
| **Non Current Assets:** | | | | | | | | | | | | |
| Property, plant and equipment, net | $3,740 | $3,799 | $3,844 | $3,914 | $4,006 | $4,885 | $4,888 | $4,924 | $4,985 | $5,058 | $5,137 | $5,224 |
| Goodwill | $4,430 | $4,430 | $4,430 | $4,430 | $4,453 | $4,622 | $4,622 | $4,622 | $4,622 | $4,622 | $4,622 | $4,622 |
| Intangible assets, net | $1,541 | $1,395 | $1,251 | $1,112 | $986 | $952 | $809 | $666 | $601 | $536 | $470 | $405 |
| Other long-term assets | $9,866 | $11,134 | $11,965 | $11,927 | $13,898 | $15,135 | $15,135 | $15,135 | $15,135 | $15,135 | $15,135 | $15,135 |
| **Total Non Current Assets** | **$19,577** | **$20,758** | **$21,490** | **$21,383** | **$23,343** | **$25,594** | **$25,454** | **$25,347** | **$25,343** | **$25,350** | **$25,364** | **$25,386** |
| **Total Assets** | **$44,460** | **$49,555** | **$54,148** | **$65,728** | **$77,072** | **$85,227** | **$93,577** | **$103,461** | **$114,749** | **$126,842** | **$139,630** | **$153,292** |
| **Liabilities and equity** | | | | | | | | | | | | |
| **Current liabilities:** | | | | | | | | | | | | |
| Accounts payable | $1,141 | $1,929 | $2,380 | $2,699 | $2,715 | $3,680 | $4,159 | $4,824 | $5,155 | $5,390 | $5,448 | $5,614 |
| Accrued Liabilities | $4,869 | $7,156 | $5,472 | $6,682 | $11,258 | $10,289 | $10,289 | $10,289 | $10,289 | $10,289 | $10,289 | $10,289 |
| Convertible Short Term Debt | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Other Current Liabilities | $1,250 | $1,249 | $1,249 | $1,250 | $1,250 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| **Total current liabilities** | **$7,260** | **$10,334** | **$9,101** | **$10,631** | **$15,223** | **$13,969** | **$14,448** | **$15,113** | **$15,444** | **$15,679** | **$15,737** | **$15,903** |
| **Long-term liabilities:** | | | | | | | | | | | | |
| Long-term debt | $9,704 | $8,456 | $8,457 | $8,459 | $8,460 | $8,461 | $8,461 | $8,461 | $8,461 | $8,461 | $8,461 | $8,461 |
| Capital Lease Obligations, LT | $939 | $1,041 | $1,091 | $1,119 | $1,281 | $1,304 | $1,304 | $1,304 | $1,304 | $1,304 | $1,304 | $1,304 |
| Deferred tax liability | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 | $0 |
| Other long-term liabilities | $2,037 | $2,223 | $2,234 | $2,541 | $2,966 | $3,336 | $3,336 | $3,336 | $3,336 | $3,336 | $3,336 | $3,336 |
| **Total non-current liabilities** | **$12,680** | **$11,720** | **$11,782** | **$12,119** | **$12,707** | **$13,101** | **$13,101** | **$13,101** | **$13,101** | **$13,101** | **$13,101** | **$13,101** |
| **Total liabilities** | **$19,940** | **$22,054** | **$20,883** | **$22,750** | **$27,930** | **$27,070** | **$27,549** | **$28,214** | **$28,545** | **$28,780** | **$28,838** | **$29,004** |
| **Shareholders' equity:** | | | | | | | | | | | | |
| Ordinary shares | $2 | $2 | $2 | $2 | $2 | $25 | $25 | $25 | $25 | $25 | $25 | $25 |
| Addditional Paid-In Capital | $12,453 | $12,629 | $12,991 | $13,132 | $12,651 | $12,115 | $13,398 | $14,706 | $16,006 | $17,344 | $18,722 | $20,106 |
| Treasury Stock | $0 | $0 | $0 | $0 | $0 | $0 | ($10,000) | ($20,000) | ($30,000) | ($40,000) | ($50,000) | ($60,000) |
| Accumulated other comp loss | ($50) | ($51) | ($88) | $27 | ($109) | $56 | $56 | $56 | $56 | $56 | $56 | $56 |
| Retained earnings | $12,115 | $14,921 | $20,360 | $29,817 | $36,598 | $45,961 | $62,549 | $80,459 | $100,117 | $120,637 | $141,988 | $164,102 |
| **Total Shareholders' equity** | **$24,520** | **$27,501** | **$33,265** | **$42,978** | **$49,142** | **$58,157** | **$66,029** | **$75,246** | **$86,205** | **$98,062** | **$110,791** | **$124,289** |
| **Total liabilities and shareholders' equity** | **$44,460** | **$49,555** | **$54,148** | **$65,728** | **$77,072** | **$85,227** | **$93,577** | **$103,461** | **$114,749** | **$126,842** | **$139,630** | **$153,292** |

Source: Company reports, Bernstein estimates and analysis

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## EXHIBIT 10: **Bernstein NVDA Cash Flow Statement**

**NVIDIA: Cash Flow Statement**

| Calendar Quarter / Fiscal Quarter | 2023E 2024 | 2024E 2025E | 2025E 2026E | 2026E 2027E |
|---|---|---|---|---|
| **Cash flows from operating activities:** | | | | |
| **GAAP Net income** | **$ 29,759** | **$ 66,469** | **$ 84,621** | **$ 98,800** |
| Adjustments to reconcile net income to net cash provided by operating activities: | | | | |
| Depreciation and amortization | $1,508 | $1,772 | $1,585 | $1,569 |
| Share-based compensation | $3,549 | $4,756 | $5,399 | $5,814 |
| Restructuring / Other | $0 | $0 | $0 | $0 |
| Amortization of debt discount | $0 | $0 | $0 | $0 |
| Net gain on sale/disposal of long-lived assets/investments | $0 | $0 | $0 | $0 |
| Loss on early debt conversions | $0 | $0 | $0 | $0 |
| Deferred income taxes | ($2,488) | ($3,276) | $0 | $0 |
| Tax benefit from stock-based compensation | $0 | $0 | $0 | $0 |
| Other | ($515) | ($551) | $0 | $0 |
| Changes in assets and liabilities, net of acquisitions: | 0 | 0 | 0 | 0 |
| Accounts receivable, net | ($6,171) | ($6,073) | ($3,074) | ($2,231) |
| Inventory | ($98) | ($4,187) | ($1,585) | ($1,304) |
| Prepaid expenses/other assets | ($1,521) | ($12) | $0 | $0 |
| Accounts payable | $1,530 | $1,945 | $789 | $661 |
| Accrued and other current liabilities | $2,025 | $3,314 | $0 | $0 |
| Other long-term liabilities | $513 | $583 | $0 | $0 |
| **Net cash provided by operating activities** | **$ 28,091** | **$ 64,740** | **$ 87,736** | **$ 103,310** |
| **Cash flows from investing activities:** | | | | |
| Net Proceeds from sale of marketable securities | ($8,430) | ($6,785) | $0 | $0 |
| Proceeds from sale of long-lived assets/investments | $0 | $0 | $0 | $0 |
| Purchases of property, plant and equipment | ($1,068) | ($2,028) | ($1,624) | ($1,856) |
| Acquisitions | ($83) | ($318) | $0 | $0 |
| Reimbursement of HQ building development costs | $0 | $0 | $0 | $0 |
| Other | ($985) | ($429) | $0 | $0 |
| **Net cash used in investing activities** | **$ (10,566)** | **$ (9,560)** | **$ (1,624)** | **$ (1,856)** |
| **Cash flows from financing activities:** | | | | |
| Proceeds from issuance of notes, net | $ (1,250) | $ (1,250) | $ - | $ - |
| Payments related to repurchases of common stock | ($9,533) | ($34,898) | ($40,000) | ($40,000) |
| Repayment of convertible notes | $0 | $0 | $0 | $0 |
| Dividends paid | ($396) | ($835) | ($978) | ($973) |
| Other | ($1,510) | ($1,706) | $0 | $0 |
| **Net cash (used in) provided by financing activities** | **$ (13,634)** | **$ (40,156)** | **$ (40,978)** | **$ (40,973)** |
| **Free Cash Flow** | **$ 27,023** | **$ 62,712** | **$ 86,112** | **$ 101,454** |

| Calendar Quarter / Fiscal Quarter | Q123 Q124 | Q223 Q224 | Q323 Q324 | Q423 Q424 | Q124 Q125 | Q224 Q225 | Q324E Q325E | Q424E Q425E | Q125E Q126E | Q225E Q226E | Q325E Q326E | Q425E Q426E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Cash flows from operating activities:** | | | | | | | | | | | | |
| **GAAP Net income** | **$ 2,043** | **$ 6,188** | **$ 9,243** | **$ 12,285** | **$ 14,881** | **$ 16,599** | **$ 16,834** | **$ 18,155** | **$ 19,903** | **$ 20,764** | **$ 21,596** | **$ 22,359** |
| Adjustments to reconcile net income to net cash provided by operating activities: | | | | | | | | | | | | |
| Depreciation and amortization | $ 384 | $ 365 | $ 372 | $ 387 | $ 410 | $ 433 | $ 465 | $ 465 | $ 389 | $ 393 | $ 398 | $ 403 |
| Share-based compensation | $ 735 | $ 842 | $ 979 | $ 993 | $ 1,011 | $ 1,154 | $ 1,283 | $ 1,308 | $ 1,300 | $ 1,338 | $ 1,378 | $ 1,383 |
| Restructuring / Other | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - |
| Amortization of debt discount | | | | | | | | | | | | |
| Net gain on sale/disposal of long-lived assets/investments | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - |
| Loss on early debt conversions | | | | | | | | | | | | |
| Deferred income taxes | $ (1,135) | $ (746) | $ (529) | $ (78) | $ (1,577) | $ (1,699) | | | | | | |
| Tax benefit from stock-based compensation | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - |
| Other | $ (20) | $ (129) | $ 3 | $ (369) | $ (214) | $ (337) | $ - | $ - | $ - | $ - | $ - | $ - |
| Changes in assets and liabilities, net of acquisitions: | | | | | | | | | | | | |
| Accounts receivable, net | $ (252) | $ (2,986) | $ (1,243) | $ (1,690) | $ (2,366) | $ (1,767) | $ (494) | $ (1,447) | $ (1,267) | $ (703) | $ (513) | $ (592) |
| Inventory | $ 566 | $ 296 | $ (457) | $ (503) | $ (577) | $ (803) | $ (1,449) | $ (1,359) | $ (729) | $ (416) | $ (94) | $ (346) |
| Prepaid expenses/other assets | $ (215) | $ (376) | $ 254 | $ (1,184) | $ (726) | $ 714 | $ - | $ - | $ - | $ - | $ - | $ - |
| Accounts payable | $ 11 | $ 777 | $ 461 | $ 281 | $ (22) | $ 823 | $ 479 | $ 665 | $ 330 | $ 236 | $ 58 | $ 165 |
| Accrued and other current liabilities | $ 689 | $ 1,986 | $ (1,722) | $ 1,072 | $ 4,202 | $ (888) | $ - | $ - | $ - | $ - | $ - | $ - |
| Other long-term liabilities | $ 105 | $ 131 | $ (28) | $ 305 | $ 323 | $ 260 | $ - | $ - | $ - | $ - | $ - | $ - |
| **Net cash provided by operating activities** | **$ 2,911** | **$ 6,348** | **$ 7,333** | **$ 11,499** | **$ 15,345** | **$ 14,489** | **$ 17,118** | **$ 17,788** | **$ 19,927** | **$ 21,613** | **$ 22,823** | **$ 23,373** |
| **Cash flows from investing activities:** | | | | | | | | | | | | |
| Net Proceeds from sale of marketable securities | $ (289) | $ 56 | $ (2,454) | $ (5,743) | $ (5,150) | $ (1,635) | $ - | $ - | $ - | $ - | $ - | $ - |
| Proceeds from sale of long-lived assets/investments | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - |
| Purchases of property, plant and equipment | $ (248) | $ (289) | $ (278) | $ (253) | $ (369) | $ (977) | $ (325) | $ (357) | $ (385) | $ (401) | $ (412) | $ (425) |
| Acquisitions | $ (83) | $ - | | | $ (39) | $ (279) | | | | | | |
| Reimbursement of HQ building development costs | | | | | | | | | | | | |
| Other | $ (221) | $ (214) | $ (437) | $ (113) | $ (135) | $ (294) | | | | | | |
| **Net cash used in investing activities** | **$ (841)** | **$ (447)** | **$ (3,169)** | **$ (6,109)** | **$ (5,693)** | **$ (3,185)** | **$ (325)** | **$ (357)** | **$ (385)** | **$ (401)** | **$ (412)** | **$ (425)** |
| **Cash flows from financing activities:** | | | | | | | | | | | | |
| Proceeds from issuance of notes, net | $ - | $ (1,250) | $ - | $ - | $ - | $ (1,250) | $ - | $ - | $ - | $ - | $ - | $ - |
| Payments related to repurchases of common stock | $ - | $ (3,067) | $ (3,806) | $ (2,660) | $ (7,740) | $ (7,158) | $ (10,000) | $ (10,000) | $ (10,000) | $ (10,000) | $ (10,000) | $ (10,000) |
| Repayment of convertible notes | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - |
| Dividends paid | $ (99) | $ (99) | $ (99) | $ (99) | $ (98) | $ (246) | $ (246) | $ (245) | $ (245) | $ (245) | $ (244) | $ (244) |
| Other | $ (20) | $ (683) | $ (778) | $ (29) | $ (40) | $ (1,666) | $ - | $ - | $ - | $ - | $ - | $ - |
| **Net cash (used in) provided by financing activities** | **$ (380)** | **$ (5,098)** | **$ (4,527)** | **$ (3,629)** | **$ (9,345)** | **$ (10,320)** | **$ (10,246)** | **$ (10,245)** | **$ (10,245)** | **$ (10,245)** | **$ (10,244)** | **$ (10,244)** |
| **Free Cash Flow** | **$ 2,663** | **$ 6,059** | **$ 7,055** | **$ 11,246** | **$ 14,976** | **$ 13,512** | **$ 16,793** | **$ 17,431** | **$ 19,542** | **$ 21,212** | **$ 22,410** | **$ 22,948** |

Source: Company reports, Bernstein estimates and analysis

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# EXHIBIT 11: **Bernstein NVDA Revenue Model**

**NVDA: Revenue Model ($M)**

| Calendar Year | CY2023 | | | | CY2024 | | | | CY2025 | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Fiscal Year ends January | FY2024 | | | | FY2025 | | | | FY2026 | | | |
| Fiscal Quarter (FYE Jan): | Q124 | Q224 | Q324 | Q424 | Q125 | Q225 | Q325E | Q425E | Q126E | Q226E | Q326E | Q426E |
| **Revenue by End Market** | | | | | | | | | | | | |
| Gaming | 2,240.0 | 2,486.0 | 2,856.0 | 2,865.0 | 2,647.0 | 2,880.0 | 3,150.3 | 3,080.3 | 2,655.4 | 2,850.6 | 3,171.6 | 3,101.6 |
| Professional Visualization | 295.0 | 379.0 | 416.0 | 463.0 | 427.0 | 454.0 | 476.5 | 500.0 | 451.8 | 474.1 | 497.6 | 522.2 |
| Datacenter | 4,284.0 | 10,323.0 | 14,514.0 | 18,404.0 | 22,563.0 | 26,272.0 | 28,395.3 | 31,604.7 | 34,785.7 | 36,053.6 | 36,812.5 | 38,080.3 |
| Automotive | 296.0 | 253.0 | 261.0 | 281.0 | 329.0 | 346.0 | 391.8 | 452.4 | 549.1 | 623.9 | 656.3 | 753.6 |
| OEM | 77.0 | 66.0 | 73.0 | 90.0 | 78.0 | 88.0 | 88.0 | 79.2 | 89.7 | 90.6 | 95.2 | 89.9 |
| IP | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Total Revenues** | **7.192.0** | **13.507.0** | **18.120.0** | **22.103.0** | **26.044.0** | **30.040.0** | **32.501.8** | **35.716.6** | **38.531.6** | **40.092.9** | **41.233.0** | **42.547.6** |

| Calendar Year | 2023 | 2024E | 2025E | 2026E |
|---|---|---|---|---|
| FYE Jan: | 2024 | 2025E | 2026E | 2027E |
| **Revenue by Segment** | | | | |
| Gaming | 10,447.0 | 11,757.5 | 11,779.2 | 11,859.5 |
| Professional Visualization | 1,553.0 | 1,857.5 | 1,945.6 | 2,031.8 |
| Datacenter | 47,525.0 | 108,835.0 | 145,732.1 | 167,516.9 |
| Automotive | 1,091.0 | 1,519.2 | 2,582.9 | 3,780.2 |
| OEM | 306.0 | 333.2 | 365.5 | 415.0 |
| IP | 0.0 | 0.0 | 0.0 | 0.0 |
| **Total Revenues** | **60.922.0** | **124.302.4** | **162.405.2** | **185.603.4** |

| Calendar Year | CY2023 | | | | CY2024 | | | | CY2024 | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Fiscal Year ends January | FY2024 | | | | FY2025 | | | | FY2025 | | | |
| Fiscal Quarter (FYE Jan): | Q124 | Q224 | Q324 | Q424 | Q125 | Q225 | Q325E | Q425E | Q126E | Q226E | Q326E | Q426E |
| **QoQ Growth** | | | | | | | | | | | | |
| Gaming | 22.3% | 11.0% | 14.9% | 0.3% | -7.6% | 8.8% | 9.4% | (2.2%) | (13.8%) | 7.4% | 11.3% | (2.2%) |
| Professional Visualization | 30.5% | 28.5% | 9.8% | 11.3% | -7.8% | 6.3% | 4.9% | 4.9% | (9.7%) | 4.9% | 4.9% | 4.9% |
| Datacenter | 18.5% | 141.0% | 40.6% | 26.8% | 22.6% | 16.4% | 8.1% | 11.3% | 10.1% | 3.6% | 2.1% | 3.4% |
| Automotive | 0.7% | -14.5% | 3.2% | 7.7% | 17.1% | 5.2% | 13.2% | 15.5% | 21.4% | 13.6% | 5.2% | 14.8% |
| OEM | -8.3% | -14.3% | 10.6% | 23.3% | -13.3% | 12.8% | 0.0% | (10.0%) | 13.3% | 1.0% | 5.0% | (5.5%) |
| IP | | | | | | | | | | | | |
| **Total Revenues** | **18.9%** | **87.8%** | **34.2%** | **22.0%** | **17.8%** | **15.3%** | **8.2%** | **9.9%** | **7.9%** | **4.1%** | **2.8%** | **3.2%** |

| Calendar Year | 2023 | 2024E | 2025E | 2026E |
|---|---|---|---|---|
| FYE Jan: | 2024 | 2025E | 2026E | 2027E |
| **QoQ Growth** | | | | |
| Gaming | | | | |
| Professional Visualization | | | | |
| Datacenter | | | | |
| Automotive | | | | |
| OEM | | | | |
| IP | | | | |
| **Total Revenues** | | | | |

| Calendar Year | CY2023 | | | | CY2024 | | | | CY2024 | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Fiscal Year ends January | FY2024 | | | | FY2025 | | | | FY2025 | | | |
| YoY Growth | Q124 | Q224 | Q324 | Q424 | Q125 | Q225 | Q325E | Q425E | Q126E | Q226E | Q326E | Q426E |
| **Revenue by End Market** | | | | | | | | | | | | |
| Gaming | -38.1% | 21.7% | 81.4% | 56.5% | 18.2% | 15.8% | 10.3% | 7.5% | 0.3% | -1.0% | 0.7% | 0.7% |
| Professional Visualization | -52.6% | -23.6% | 108.0% | 104.9% | 44.7% | 19.8% | 14.5% | 8.0% | 5.8% | 4.4% | 4.4% | 4.4% |
| Datacenter | 14.2% | 171.2% | 278.7% | 409.0% | 426.7% | 154.5% | 95.6% | 71.7% | 54.2% | 37.2% | 29.6% | 20.5% |
| Automotive | 114.5% | 15.0% | 4.0% | -4.4% | 11.1% | 36.8% | 50.1% | 61.0% | 66.9% | 80.3% | 67.5% | 66.6% |
| OEM | -51.3% | -52.9% | 0.0% | 7.1% | 1.3% | 33.3% | 20.5% | -12.0% | 15.0% | 3.0% | 8.1% | 13.5% |
| IP | | | | | | | | | | | | |
| **Total Revenues** | **-13.2%** | **101.5%** | **205.5%** | **265.3%** | **262.1%** | **122.4%** | **79.4%** | **61.6%** | **47.9%** | **33.5%** | **26.9%** | **19.1%** |

| Calendar Year | 2023 | 2024E | 2025E | 2026E |
|---|---|---|---|---|
| FYE Jan: | 2024 | 2025E | 2026E | 2027E |
| **YoY Growth** | | | | |
| Gaming | 15.2% | 12.5% | 0.2% | 0.7% |
| Professional Visualization | 0.6% | 19.6% | 4.7% | 4.4% |
| Datacenter | 216.7% | 129.0% | 33.9% | 14.9% |
| Automotive | 20.8% | 39.3% | 70.0% | 46.4% |
| OEM | -32.7% | 8.9% | 9.7% | 13.5% |
| IP | | | | |
| **Total Revenues** | **125.9%** | **104.0%** | **30.7%** | **14.3%** |

Source: Company reports, Bernstein estimates and analysis

## BERNSTEIN TICKER TABLE

| Ticker | Rating | | 28 Aug 2024 Closing Price | Price Target | TTM Rel. Perf. | | Adjusted EPS 2024A | Adjusted EPS 2025E | Adjusted EPS 2026E | Adjusted P/E (x) 2024A | Adjusted P/E (x) 2025E | Adjusted P/E (x) 2026E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| NVDA | O | USD | 125.61 | **155.00** | 142.1% | USD | 1.30 | **2.80** | **3.62** | 96.9 | 44.8 | 34.7 |
| *OLD* | | | | 130.00 | | | | 2.62 | 3.30 | | | |
| SPX | | | 5,592.18 | | | | | | | | | |

**PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD**

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

**I. REQUIRED DISCLOSURES**

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 , Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社).

On April 1, 2024, Société Générale (SG) and AllianceBernstein, L.P. (AB) completed a transaction that created a new joint venture in which their respective cash equities and research businesses operate in a new business combination. Although their respective ownership percentages in the joint venture differ between North America and the rest of the world, the creation, production and publication of research is handled collaboratively on a global basis across the two research brands, “Bernstein” and “Autonomous”. Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

**VALUATION METHODOLOGY**

**NVIDIA Corp**

We apply a ~40x multiple to average of our FY2026/FY2027 (CY2025/CY2026) non-GAAP EPS estimates of $3.93 and set our price target at $155.

**RISKS**

**NVIDIA Corp**

Downside risks to our target price include potential for lumpiness in near-term business trends, slower than expected revenue growth in key end markets (impacting the stock's multiple and reducing opex leverage), risk of competitors pressuring share or pricing, customers migrating to internal silicon, and/or regulatory risks around technology exports.

**RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**

**Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 6-12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index (EDM) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JP) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

**Autonomous brand**

The Autonomous brand rates stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas. Not Rated (NR) is applied to companies that are not under formal coverage.

**Horizon and classification**

For both brands, recommendations are based on a 12-month time horizon.

**DISTRIBUTION OF RATINGS/INVESTMENT BANKING SERVICES**

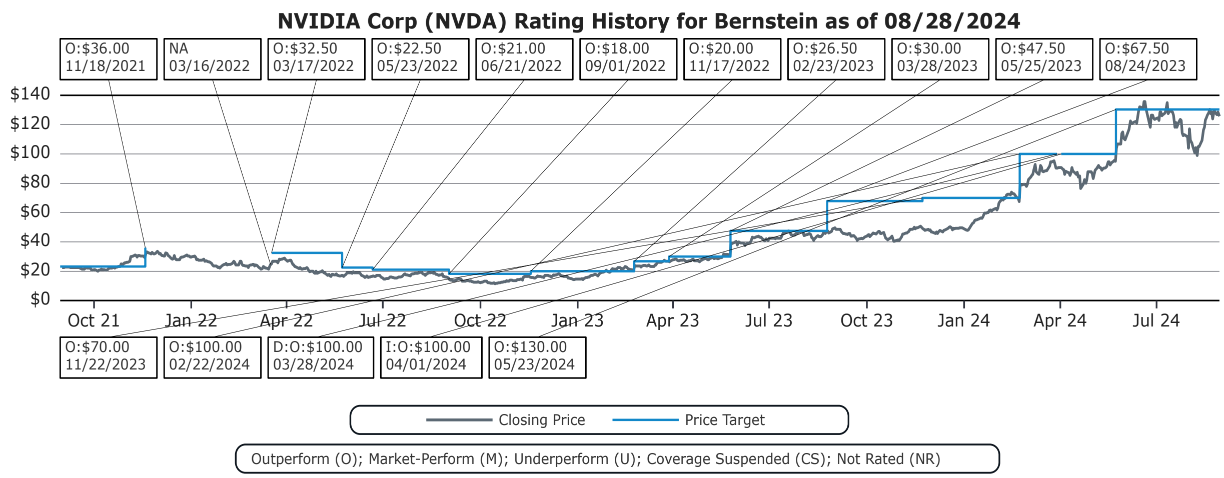
| Rating | Market Abuse Regulation (MAR) and FINRA Rule 2241 classification | Count | Percent | Count* | Percent* |
|---|---|---|---|---|---|
| Outperform | BUY | 531 | 52.26% | 1 | 0.19% |
| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD | 354 | 34.84% | 3 | 0.85% |
| Underperform | SELL | 131 | 12.89% | 0 | 0.00% |

* These figures represent the number and percentage of companies in each category to whom Bernstein and Autonomous provided investment banking services.

As of Aug 29 2024. All figures are updated quarterly and represent the cumulative ratings over the previous 12 months.

**PRICE CHARTS/ RATINGS AND PRICE TARGET HISTORY**

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: NVIDIA Corp.



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Stacy A. Rasgon maintains long positions in various crypto currencies.
Stacy Rasgon is in discussions with Nvidia regarding a potential employment opportunity.
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